ASSIGNMENT SET – 1

Q1. Explain the scope, objectives, and functions of Financial Management. Discuss Profit Maximization vs Wealth Maximization and its interface with other business functions.

Scope of Financial Management

In Financial Management, the focus lies on the efficient management of monetary resources of an organization. Therefore, financial management does not deal only with issues related to accounting and record keeping but involves all aspects of financing, including requirements of financing, sources of funds, utilization of funds and managing cash flow of the organization. The scope thus ranges from management of cash flow to long term investment decision relating to acquisition of fixed assets or expansion of business and also to obtaining financial support through loans or equity issues.

Objectives and Functions:

- **Investment Decision:** It is concerned with identifying avenues for investments, like investments in land and building, machinery, or extension of business activities. Investment decision aims at maximizing returns.
- **Financing Decision:** It aims at selecting avenues of financing. Whether funds will be obtained by means of bank borrowings, debentures, equity participation of shareholders or retention of profits, etc., the aim should be to minimize costs of capital.
- **Dividend Decision:** When earnings are realized, what portion will be distributed as dividends and what will be retained in the business.
- **Working Capital Management:** It relates to ensuring adequate finance for conducting business.

Profit Maximization vs Wealth Maximization

For many years, the goal of businesses was limited to nothing but profit maximization. The problem with such an objective was that it ignored the fact that maximizing profits could mean reducing the quality of products and services offered and making the life of employees miserable, which would result in losing the value of the business.

On the contrary, wealth maximization involves enhancing the value of the business enterprise. Instead of just maximizing profits, it involves increasing the value of a business in terms of sustainable growth and development. Therefore, this strategy involves looking at the way certain decisions may affect the reputation of the business, its employees, customers, and competitiveness.

Interface with Other Business Functions

- **Marketing:** Financing and marketing are interconnected. The financing department gives estimates of the budget for marketing campaigns. The marketing department informs the finance department about how much income would result from the marketing campaign.
- **Operations:** Financing finances operations. Operations have to produce something that would pay off for the money spent on financing them.
- **HR:** The financing department takes care of all payments. The HR department tells financing how much money needs to be paid for the personnel.

Conclusion:

The importance of financial management is that it is involved in every decision within a corporation. It is not only a technical aspect, but it influences strategic decisions, financial investments, and even existence and success of a company. The key point is distinguishing between profit and wealth and realizing that finance is involved in everything.

Q2. Define Financial Planning. Explain its objectives, steps, factors, and sources of finance (domestic and international).

What is Financial Planning?

Financial Planning essentially refers to the process whereby a company determines its future financial state. In other words, it entails the process by which a firm creates a plan on the amount of finance required, its source, and utilization to meet organizational objectives. In the absence of financial planning, organizations tend to drift along aimlessly.

Main Objectives

- Liquidity: Ensuring that the firm remains liquid to cover its various obligations.
- Profitability: The process through which the company ensures profitability.
- Effective utilization of financial and non-financial resources: Avoiding wastage of financial resources.
- Growth: How the company plans its growth strategy.
- Risk management: Coping with risks that the organization may face.

Steps in Financial Planning

- **Determine current status:** Evaluate your balance sheet, profit/loss account, and cash flows. How does your company currently look like?
- **Calculate future requirements:** Predict how much capital you will need within the next 1 year, 5 years, and 10 years, according to your development strategy.
- **Establish capital sources:** Find the source of funding.
- **Manage resource allocation:** Plan your capital distribution among different ventures.
- **Implement monitoring and make adjustments:** Ensure that your plan works. If there is a difference between the actual situation and forecasts, make necessary adjustments.

Key Factors Affecting Planning

- **Market situation:** Is the economy expanding or contracting? Are interest rates high or low?
- **Plans for the business's development:** If you plan a quick growth rate, you need more finance.
- **Industry trends:** What about the industry in which you are working? Is competition expanding? Is the demand increasing or declining?
- **Legal factors:** Are there any laws introduced that would imply some expenses for compliance?
- **Existing company debts:** If the firm has some obligations, this impacts on the possible amount of new borrowing.

Sources of Finance:

Internal Sources:

- **Retained earnings:** Profits generated by the company are used in business rather than distributed among shareholders. It is normally the most inexpensive way of financing.
- **Bank loans:** Financing received from commercial banks. Quick source with interest expense involved.
- **Bonds:** The company receives money from the public sector issuing bonds and paying interest for the borrowed funds.
- **Stock issuance:** Money raised through stock issue. No obligations are generated but you need to sell ownership rights.

International Sources:

- **Foreign borrowing:** Loans from foreign banks such as the World Bank or regional development banks.
- **Foreign Direct Investment:** Foreign firms or individuals invest in your firm.
- **Eurocurrency:** Borrowing in foreign currencies instead of your domestic currency.
- **Depositary receipts:** Floating stocks on international stock exchanges (American Depository Receipts in the USA, while Global Depositary Receipts in other countries).

Conclusion:

Financial Planning is more than just calculations. It involves having a vision for the future and the determination to find out exactly how to achieve this vision. Good planning is what differentiates companies with strategic growth from those with random growth or none at all.

Q3. Explain the concept of Time Value of Money. Discuss Future Value, Present Value, Annuity, Perpetuity, and Loan Amortization.

Time Value of Money

The simple concept here is that money which is held in hand presently is more valuable than the same amount of money in the future. The reason behind this is that money in present form enables an individual to invest it and thus earn profits from its utilization. The present day rupee can be converted into future rupees.

Future Value (FV)

Future value refers to the value to which any particular investment will be increased due to earning of interest over a given period. For instance, if one invests 1000 rupees at an interest rate of 10 percent then his/her Future Value after one year will be 1100 rupees. This process keeps on accelerating with time through the force of compounding.

Present Value (PV)

This is an opposite of Future Value. The Present Value is the current value of some amount in the future. For example, when someone tells you that they will give you 1100 rupees next year but the interest rate is 10%. How much is that worth right now? 1000 rupees. You use the Present Value concept to be able to compare several financial opportunities, which take place in different periods. So should you receive 50,000 rupees today or wait for 60,000 rupees after 5 years? Find the Present Value of that money and decide.

Annuity

It refers to regular payments of money, the amount of which does not change during the specified period. This may include regular monthly payments of a loan, premium on insurance or regular annual pension payments. You have both constant annuities where each payment is the same, and growing annuities where payments increase over time. You are able to find out either future value or present value of annuity.

Perpetuity

The perpetuity is like annuity except that it never ends. It entails an infinite stream of cash flows. In real life, perpetuities are rare, except for some government bonds and preferred stocks that are perpetual. The good thing about perpetuity is its mathematics. The formula for present value of a perpetuity is: Annual Payment ÷ Discount Rate. The time period in which this happens does not really matter.

Loan Amortization

Whenever you take a loan, you are supposed to return the loan and pay interest on it. Normally, you pay in monthly or yearly instalments which include part of the principal sum borrowed and the interest charged. Amortization refers to the repayment plan that includes each repayment that covers a certain percentage of the principal and a portion of interest charges. At the beginning of the loan term, you will be paying more interests. Towards the end, the majority of repayments will be principal amounts.

Conclusion:

Time Value of Money (TVM) is fundamental to financial decision making. All the financial decisions whether it is investment appraisal, borrowing or savings involve the application of TVM concepts. Appreciating the basics of TVM allows you to make prudent decisions regarding expenditure, borrowing and investments.

ASSIGNMENT SET – 2

Q4. What is Cost of Capital? Explain different components and computation of Weighted Average Cost of Capital (WACC).

What is Cost of Capital?

The Cost of Capital is the cost incurred in obtaining capital funds by the organization. The company borrows money from different sources where they incur interest cost. They can also use stock to raise funds where the investors expect returns on their investment. The sum of all the cost components is called the cost of capital. The Cost of Capital is important because it is used as a comparison benchmark. Any project whose return is below the Cost of Capital is considered uneconomical.

Cost of Capital Components

- **The Cost of Debt:** This is the interest cost incurred when borrowing money. For instance, if the company borrows money with 8% interest, then the cost of debt would be 8%. This is the cost of interest which is tax-deductible.
- **The Cost of Equity:** This is the return on investment which investors expect in exchange for using their capital. The stock market earns an average of 12%, hence equity investors of the company would expect at least that percentage.
- **The Cost of Preferred Stock:** In the same way some organizations borrow money, others raise capital through issuance of shares known as preferred stocks. It is similar to debt because it has fixed dividends.

Weighted Average Cost of Capital (WACC)

WACC refers to the cost of the sources of capital used by the firm on average, based on their weights within the capital structure. The idea here is that if you raise 40 percent of your capital through debt financing and the remaining 60 percent from equity financing, your total capital cost will be 40 percent debt cost plus 60 percent equity cost.

This is calculated as follows:

WACC = (E/V x Cost of Equity) + (D/V x Cost of Debt x (1 – Tax Rate))

Where E = Market value of equity

and D = Market Value of Debt

and V = Total value (E + D)

Ways to Calculate WACC

- First, calculate the value of the equity of the business (Stock price * Shares).
- Second, calculate the value of the debt of the firm (The amount it owes).
- Third, sum up the values of equity and debt (Total Value).
- Fourth, calculate the weights where Weight of Equity = Equity/ Total Value, Weight of Debt = Debt/ Total Value.
- Fifth, determine Cost of Equity (Normally, this can be done by using the CAPM Model: RF + b(MRP).
- Sixth, calculate Cost of Debt (This will be the average interest payable).
- Seventh, now put all the figures in the WACC formula remembering to account for tax in the cost of debt.

Conclusion: WACC is one of the most important calculations in finance. It will tell you the minimum return that your investments should earn to make a profit. All projects which earn less than the WACC make shareholders lose money whereas those earning more make them gain.

Q5. Explain Leverage and Capital Structure theories including NI, NOI, and MM approaches.

What Is Leverage?

Leverage refers to using money that one borrows from somewhere else to generate additional returns. When one invests his or her money in projects that earn 12% per annum while borrowing at 8%, he or she makes 4% per year through leverage. Leverage, therefore, goes both ways. If the investments yield 5% per annum, the person will be losing 3% per year through the leveraged money.

Capital Structure

The capital structure of a firm refers to the balance that exists between debt and equity in funding the operations of the firm. Different firms have different balances in terms of their capital structure. Some firms are debt-oriented; others, equity-oriented. Others lie in between. It then becomes a question whether there exists an optimal capital structure.

The NI Approach (Net Income Approach)

The old school thinking was that more debt is actually good for the company. Why? Because interest on debt is tax-deductible. The more debt you use, the less tax you pay, and net income increases. So according to this approach, a company should use as much debt as possible. But this ignores risk. As debt increases, so does the risk of not being able to pay it back.

The NOI Approach (Net Operating Income Approach)

This approach says the opposite. It claims that capital structure doesn't matter. Whether you finance with debt or equity, the total value of the company stays the same. The reasoning is that as you increase debt, you increase financial risk, which makes equity riskier and more expensive. The cheaper debt is offset by more expensive equity. So the average cost stays the same. The company's total value is determined by its operating performance, not how it's financed.

Modigliani & Miller (MM)

MM took the theory one step further with a mathematical proof that when there are no taxes and other imperfections, capital structure doesn't matter. The value of the firm is created by its activities and not the way it finances them. But at the same time, MM proved that with taxes, debt has a positive effect on firm's value since interest payments are deductible for tax purposes. So, the optimal capital structure lies in the area between the tax benefits from debt financing and additional risks involved.

In Reality

- **Firms apply hybrid structure:** They borrow some money taking into account their tax status and flexible nature of debt. But still, not so much to become risky for investors.
- **Capital structure varies among industries:** Financial institutions and utility companies have a high ratio of debt whereas technology firms prefer equity capital.
- **Optimal capital structure is dynamic:** Interest rate, level of profitability and general market environment keep changing so should the firm's capital structure.

Conclusion: Capital structure matters just not in the simple ways early theories suggested. The real world has taxes, bankruptcy costs, agency costs, and information asymmetries. Companies need to find the right balance that minimizes their cost of capital while maintaining enough flexibility and stability to weather difficult times.

Q6. Discuss Capital Budgeting, Working Capital, Inventory, Receivable Management, and Dividend Decisions.

Capital Budgeting

Capital budgeting refers to making long-term investment decisions. In other words, should the business invest in a new factory, new machinery, or enter a new geographical location? These decisions require commitment of funds for several years. They involve estimating the cash flows for the investment, calculating financial ratios such as the net present value and internal rate of return, and choosing investments that provide the most value. All approved investments should provide returns higher than the cost of capital.

Working Capital Management

Working capital refers to the cash available for conducting operations. It includes cash, accounts receivable, inventory, and account payables. Low working capital means that the organization does not have enough money to conduct operations; while high working capital means that funds are being kept idle.

Inventory Management

- Problem: When there's too much inventory purchased, there is too much idle money. On the other hand, having too little inventory causes running out of stock.
- Objective: To have an ideal amount of inventory in order not to be overstocked nor understocked.
- Techniques employed: EOQ determines the ideal quantity to order; JIT aims to decrease inventory levels by making frequent small orders; FIFO/LIFO is an accounting approach to value inventory.

Receivables Management

If a firm sells its products/services on credit, customers have money that belongs to the company. However, the issue is: credit is needed to make sales competitive, but when it takes too long for clients to repay the debt, companies end up financing other businesses from their pocket. In order to handle receivables, firms define credit terms, follow up on outstanding balances, and even sell unpaid bills to a factor at a discounted price just for cashing up at once. The performance measurements are DSO.

Dividend Decisions

If a firm earns profits, it has to decide whether to distribute it among its stockholders as dividends or retain the money for further investments in the business. On face value, this decision appears straightforward; however, it is not so. Higher dividends increase the shareholders' return, but limit future growth. Higher investment creates growth but does not generate income for stockholders.

The considerations to make this decision include:

- Investment Opportunities: If there are investment opportunities available, then it should be invested. Otherwise, dividends would be declared.
- Stockholders' preference: Retired individuals Favor dividends while young shareholders prefer growth.
- Taxes: Dividends are subjected to tax whereas capital gain will attract taxes on sale.
- Signal: Reduction in dividends gives a negative signal, indicating that the company is facing problems. An increase will give a positive signal.

Conclusion

The above-mentioned topics are a major part of finance management. They involve decisions based on the trade-off between growth, risk, and liquidity. If they are managed successfully, the firm will have the necessary sources of funds to weather any financial storm. However, improper decisions in this regard may cause the firm to suffer losses despite earning substantial profits.